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No. ———

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IN THE

Supreme Court of the United States

OCTOBER TERM, 1997

NATIONAL FEDERATION OF FEDERAL EMPLOYEES, LOCAL 1309,

Petitioner,

v.

UNITED STATES DEPARTMENT OF THE INTERIOR, WASHINGTON, D.C., U.S. GEOLOGICAL SURVEY, RESTON, VIRGINIA, AND FEDERAL LABOR RELATIONS AUTHORITY

Petition for a Writ of Certiorari to the United States Court of Appeals for the Fourth Circuit

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PETITION FOR A WRIT OF CERTIORARI

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QUESTIONS PRESENTED

1. Whether the Federal Service Labor-Management Relations Statute, 5 U.S.C. § 7101, *et seq.* (FSLMRS), obligates an agency to bargain over union-initiated mid-term proposals, where the subject matter of the proposals is not covered by the term agreement, and the union has not waived its right to bargain.

2. Whether, in any event, the FSLMRS requires an agency to bargain over a contract provision that would obligate it to engage in negotiations, during the term of the agreement, over union-initiated proposals.

TABLE OF CONTENTS

	Page
QUESTIONS PRESENTED	i
TABLE OF AUTHORITIES	iv
OPINIONS BELOW	1
JURISDICTION	2
STATUTORY PROVISIONS INVOLVED	2
STATEMENT	2
REASONS FOR GRANTING THE PETITION	5
I. THE COURT OF APPEALS' DECISION PRESENTS A CLEAR CONFLICT WITH THE D.C. CIRCUIT REGARDING UNION-INITIATED MIDTERM BARGAINING	5
II. THE QUESTION PRESENTED IS IMPORTANT: RESOLUTION OF THE CONFLICT BETWEEN THE CIRCUITS IS ESSENTIAL TO ENSURE RATIONAL ADMINISTRATION OF THE STATUTE AND TO PRESERVE THE BALANCED SCHEME OF COLLECTIVE BARGAINING THAT CONGRESS INTENDED	7
III. THE DECISION OF THE COURT OF APPEALS IS ERRONEOUS	9
A. The Language, Structure and Policies of the Statute and Fundamental Principles of Labor Law Demonstrate that Federal Employers Are Obligated to Bargain Over Union-Initiated Proposals	9
B. In Any Event, A Contract Proposal Authorizing Union-Initiated Midterm Bargaining Is Within A Federal Employer's Statutory Obligation to Bargain	16

TABLE OF CONTENTS—Continued

	Page
CONCLUSION	18
APPENDIX A	1a
APPENDIX B	11a
APPENDIX C	24a

TABLE OF AUTHORITIES

Cases: Page

American Federation of Government Employees v. FLRA, 750 F.2d 143 (D.C. Cir. 1984) 10, 11
Army and Air Force Exchange Service, 5 F.L.R.C. 167 (1977) 12
Bureau of Alcohol, Tobacco and Firearms v. FLRA, 464 U.S. 89 (1983) 8, 9, 12, 16
Chevron, U.S.A., Inc. v. Natural Resources Defense Council, 467 U.S. 837 (1984) 14
Department of the Treasury and U.S. Customs v. FLRA, 836 F.2d 1381 (D.C. Cir. 1988) 16
FLRA v. Internal Revenue Service, 838 F.2d 567 (D.C. Cir. 1988) 15
Internal Revenue Service and NTEU, 29 F.L.R.A. 162 (1987) 6, 13
Library of Congress v. FLRA, 699 F.2d 1280 (D.C. Cir. 1983) 9, 12, 16
Mead Corp. v. NLRB, 697 F.2d 1013 (11th Cir. 1983) 13
National Treasury Employees Union and Dept. of the Treasury, 21 FLRA 6 (1986), *enforced*, 836 F.2d 1381 (D.C. Cir. 1988) 16
National Treasury Employees Union v. FLRA, 810 F.2d 295 (D.C. Cir. 1987) ..... *passim*
National Treasury Employees Union v. FLRA, 691 F.2d 553 (D.C. Cir. 1982) 11, 12
NL Industries, Inc. v. NLRB, 536 F.2d 786 (8th Cir. 1976) 13, 15
NLRB v. Jacobs Manufacturing Co., 196 F.2d 680 (2d Cir. 1952) 12, 13, 14
Social Security Administration v. FLRA, 956 F.2d 1280 (4th Cir. 1992) ..... *passim*
U.S. Dept. of Health and Human Services, 47 F.L.R.A. 1004 (1993) 15
United States Dept. of Energy v. FLRA, 106 F.3d 1158 (4th Cir. 1997) ..... *passim*
United States Department of Energy, Washington, D.C. and AFGE Local 1995, AFL-CIO, 51 F.L.R.A. 124 (1995), *rev'd*, 106 F.3d 1158 (4th Cir. 1997) 4, 6

TABLE OF AUTHORITIES—Continued

Statutes and Regulations:	Page
5 U.S.C. § 7101	i, 2
§ 7101(a)(1)(A)	9
§ 7101(a)(1)(B)	9, 15
§ 7101(a)(1)(C)	13
§ 7103(a)(12)	10
§ 7103(a)(14)	10
§ 7106	10
§ 7106(a)	17
§ 7106(b)(2)	10
§ 7106(b)(3)	10
§ 7114(a)	10
§ 7117(a)	10, 17
§ 7119	4
§ 7119(c)(5)(A)(iii)	4
§ 7123(a)	7
28 U.S.C. § 1251(1)	2
29 U.S.C. § 158(d)	13
Miscellaneous:	
124 Cong. Rec. H 9633 (daily ed. Sept. 13, 1978) *reprinted in Legislative History of the Federal Service Labor-Management Relations Statute, Title VII of the Civil Service Reform Act of 1978*	10
S. Rep. No. 969, 95th Cong., 2d Sess. (1978) *reprinted in Legislative History of the Federal Service Labor-Management Relations Statute, Title VII of the Civil Service Reform Act of 1978*	11

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PETITION FOR A WRIT OF CERTIORARI

The National Federation of Federal Employees, Local 1309, respectfully petitions for a writ of certiorari to review the judgment of the United States Court of Appeals for the Fourth Circuit in this case.

OPINIONS BELOW

The opinion of the court of appeals (Pet. App. A) is not yet reported. The opinion of the Federal Labor Relations Authority (Pet. App. B) is reported at 52 F.L.R.A. 475 (1996).

JURISDICTION

The court of appeals entered its judgment on October 31, 1997 (Pet. App. 1a-10a). The jurisdiction of this Court is invoked under 28 U.S.C. 1251(1).

STATUTORY PROVISIONS INVOLVED

The pertinent provisions of the Federal Service Labor-Management Relations Statute, 5 U.S.C. 7101, *et seq.*, are reproduced, *infra*, at Pet. App. C.

STATEMENT

1. The petitioner, National Federation of Federal Employees, Local 1309 (the Union), is the exclusive bargaining representative of certain employees of the United States Geological Survey of the Department of the Interior (the Survey). During negotiation of a collective bargaining agreement, the Union proposed that the Survey agree that, during the term of the agreement, it would be obligated "to negotiate on any negotiable matters not covered by the provisions of this agreement." Pet. App. 3a.

The Survey contended (Pet. App. 3a-4a) that the proposal was not within its duty to bargain. In so contending, it relied upon the Fourth Circuit's rejection of a holding of the Federal Labor Relations Authority (FLRA or the Authority) that the Federal Service Labor-Management Relations Statute, 5 U.S.C. 7101 *et seq.* (the Statute or the FSLMRS), requires an agency to bargain over union-initiated midterm proposals. *Social Security Administration v. FLRA*, 956 F.2d 1280 (4th Cir. 1992) (*SSA v. FLRA*).

The Union then commenced unfair labor practice proceedings before the FLRA. The Authority, relying on its previous decisions and the decision of the D.C. Circuit in *National Treasury Employees Union v. FLRA*, 810 F.2d 295 (D.C. Cir. 1987) (*NTEU v. FLRA*), held that the Survey had violated the Statute in refusing to negotiate. Pet. App. 11a-23a. The FLRA noted (*id.* at 17a) that

it had previously rejected the Fourth Circuit's *SSA* decision. In addition, it distinguished *SSA* from this case (*id.* at 17a-18a) because *SSA* had only held that there was no statutory obligation to bargain midterm; the court had not reached the issue of whether a union could negotiate for that right.

2. The Survey petitioned for review in the Fourth Circuit and the Authority cross-petitioned for enforcement. The court granted the Survey's petition and denied the Authority's cross-petition, finding the case controlled by *SSA* and a recent decision in *United States Dept. of Energy v. FLRA*, 106 F.3d 1158 (4th Cir. 1997) (*DOE v. FLRA*). Pet. App. 8a-10a.

a. In *SSA*, the Fourth Circuit had held, directly in conflict with the D.C. Circuit's decision in *NTEU v. FLRA*, *supra*, that the Statute imposes no obligation upon agencies to bargain midterm over union-initiated bargaining proposals. While acknowledging that a "textual analysis" of the Statute did not yield a "definitive" answer to the question, the *SSA* court stated that the statutory language "seemed" to "strongly suggest[]" that Congress contemplated that the duty to bargain in good faith would extend to "only one, basic agreement." 956 F.2d at 1284.

The Fourth Circuit also relied upon a passage in a Senate report that had accompanied a version of the FSLMRS that did not become law. 956 F.2d at 1284-1285. The court concluded—in disagreement with the opinion of the D.C. Circuit—that the Senate report in question showed that a duty to negotiate midterm arose only when the agency wished to initiate changes in conditions of employment. *Id.*

The *SSA* court—again in disagreement with the *NTEU* court—found inapplicable the well-established private sector precedent recognizing a union's right to initiate midterm bargaining. 956 F.2d at 1286-1288. The Fourth

Circuit stated that the application of the precedent to the federal sector was inconsistent with the Statute's policy of promoting an "effective and efficient" government. *Id.* at 1289.

b. In *DOE*, the Fourth Circuit extended the rationale of *SSA*, concluding that it actually precluded a federal agency even from negotiating over a contract provision that would permit union-initiated midterm bargaining. The FLRA had found the proposal negotiable, reasoning that *SSA* addressed only whether the Statute imposed on agencies an obligation to engage in union-initiated midterm bargaining, but left open whether a union could obtain such a right through bargaining. *United States Department of Energy, Washington, D.C. and AFGE Local 1995, AFL-CIO*, 51 F.L.R.A. 124, 127-128 (1995), *rev'd*, 106 F.3d 1158 (4th Cir. 1997).

The Fourth Circuit found this distinction unpersuasive on the grounds that it would "vitiate *SSA*." *DOE*, 106 F.3d at 1163. The court explained that because the Federal Service Impasses Panel (FSIP or the Panel) followed the Authority position regarding midterm bargaining, the Panel would invariably impose midterm bargaining clauses on federal agencies and thus permit unions to "circumvent *SSA*." *Id.* at 1164.[1]

c. In the present case, the court of appeals rejected the efforts of the Authority and the intervenor Union to distinguish *SSA* and *DOE*, the rationales of which it found controlling. Pet. App. 8a-10a. Candidly acknowledging the formidable difficulties created by the conflict between it and the D.C. Circuit regarding union-initiated midterm

[1] The Statute provides that if labor and management are unable to reach agreement, they may take their impasse to the Panel. 5 U.S.C. 7119. The FSIP is authorized to "take whatever action is necessary and not inconsistent" with the Statute to resolve the impasse, including imposition of contract language on the parties. *Id.* at 7119(c)(5)(A)(iii).

bargaining, the court commented that "recourse for resolution must be sought elsewhere." *Id.* at 10a.

REASONS FOR GRANTING THE PETITION

As the Fourth Circuit expressly recognized (Pet. App. 4a), its ruling in this case and its "controlling" decision in *SSA v. FLRA* present a "clear conflict" with the D.C. Circuit's holding in *NTEU v. FLRA* on the issue of whether a federal employer-agency is statutorily obligated to engage in midterm bargaining regarding union-initiated proposals. Indeed, as a result of its extension of *SSA*'s rationale in *DOE*, in the Fourth Circuit a federal agency is actually *prohibited* from agreeing to do that which the D.C. Circuit says the statute *requires*. The Fourth Circuit frankly acknowledged the substantial "difficulties" (*id.* at 10a) which the conflicting decisions present for the rational administration of the Statute. For that reason, and because the Fourth Circuit has incorrectly resolved an issue of great significance to the federal sector labor relations scheme, this Court should grant review.

I. THE COURT OF APPEALS' DECISION PRESENTS A CLEAR CONFLICT WITH THE D.C. CIRCUIT REGARDING UNION-INITIATED MIDTERM BARGAINING

More than ten years ago, the D.C. Circuit ruled that—even absent a provision in a term agreement requiring such bargaining—federal agency employers have a statutory obligation to bargain over union-initiated proposals concerning matters that are not covered by the parties' collective bargaining agreement. In *NTEU v. FLRA*, the court, per Judges Re, Robinson and then-Judge, now Justice, Ruth B. Ginsburg, held that the Statute's language, design and history and "basic principles of labor law" (810 F.2d at 301) established such a bargaining obligation. The court set aside the FLRA's contrary view, and the Authority subsequently acquiesced in the ruling of

the D.C. Circuit. *See Internal Revenue Service and NTEU*, 29 F.L.R.A. 162 (1987) (holding that management has a duty to bargain about union midterm proposals where the subject matter is not contained in the collective agreement and where the union has not waived its right to bargain over the subject matter in question).

Some five years later, the Fourth Circuit in *SSA* upset the repose of the law regarding union-initiated midterm bargaining when it explicitly rejected the D.C. Circuit's *NTEU* holding. The Fourth Circuit then took *SSA*'s rationale a step further when it revisited the issue of union-initiated midterm bargaining in *DOE*, and refused enforcement of an FLRA decision finding negotiable a proposal that would have permitted union-initiated midterm bargaining. The court concluded that its decision in *SSA* "compel[led]" it to find that the union's proposal was not negotiable. *DOE*, 106 F.3d 1158. Most recently, in the instant case, the Fourth Circuit, citing *SSA*, again determined that a union proposal that would have provided for union-initiated midterm bargaining was nonnegotiable.

As the court of appeals itself plainly recognized (Pet. App. 10a), its decision in this case graphically underscores the profound conflict, first enunciated in *SSA*, between the Fourth Circuit and the D.C. Circuit on the issue of union-initiated midterm bargaining.[2] As shown below, this "clear conflict" (*id.* at 4a) cannot be abided: its existence disrupts the administration of the Statute and materially distorts the federal sector collective bargaining scheme crafted by Congress.

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[2] The D.C. Circuit has not specifically addressed whether the Statute requires employer-agencies to negotiate over a proposal that would create a contractual obligation to bargain regarding union-initiated midterm proposals. Having determined, however, that unions have a statutory right to engage in midterm bargaining over proposals that they initiate, the court would necessarily agree that a contract clause providing for such bargaining was negotiable.

II. THE QUESTION PRESENTED IS IMPORTANT: RESOLUTION OF THE CONFLICT BETWEEN THE CIRCUITS IS ESSENTIAL TO ENSURE RATIONAL ADMINISTRATION OF THE STATUTE AND TO PRESERVE THE BALANCED SCHEME OF COLLECTIVE BARGAINING THAT CONGRESS INTENDED

A. The conflict between the Fourth Circuit and the D.C. Circuit is thwarting rational administration of the Statute. The Statute contains a multiple venue provision stipulating that review of Authority's decisions may be sought in the circuit where the aggrieved party resides or transacts business, or in the D.C. Circuit. 5 U.S.C. 7123(a). Where, as here, there is an irreconcilable circuit split regarding the important issue of union-initiated midterm bargaining, operation of this venue provision creates inevitable disarray with respect to the Statute's federal sector labor relations scheme.

Specifically, as the FLRA has explained to the Fourth Circuit (*see DOE*, 106 F.3d at 1167-68), if the Authority were to acquiesce now in the Fourth Circuit's view of union-initiated midterm bargaining, an aggrieved union could legitimately seek review in the D.C. Circuit and readily establish that the FLRA had failed to comply with that court's position regarding midterm bargaining. Similarly, if the FLRA continues to follow *NTEU*, the federal agency, which likely transacts business throughout the country, could then seek review in the Fourth Circuit, which has unequivocally repudiated the holding of the *NTEU* court.

The existence of this kind of ping-pong review creates an untenable situation that can only be resolved by this Court. The FLRA is in the "difficult position" (*DOE*, 106 F.3d at 1162, n.8) of not knowing which circuit court will review its decision. Most important, "irrespective of the course chosen, [the FLRA] would find itself in

the position of not complying with a previous decision" of a federal circuit court. *Id.* at 1167-68.

B. The question presented is important also because the Fourth Circuit's decision would upset the careful balance Congress struck in shaping the Statute's labor-management scheme and undermine its clear goal of significantly strengthening "the position of public employee unions." *Bureau of Alcohol, Tobacco and Firearms v. FLRA*, 464 U.S. 89, 92 (*BATF v. FLRA*). The Fourth Circuit's conclusion—that union-initiated midterm proposals, but not management-instigated changes, are a source of instability at the workplace (*SSA*, 956 F.2d at 1287-90)—cannot be squared with Congress' fundamental goal of creating greater equality between labor and management. *See, e.g., NTEU*, 810 F.2d at 300. Indeed, the Fourth Circuit's decision disables the employees' chosen representative from participating in the resolution of important issues that arise unexpectedly in the workplace. Under *SSA* and *DOE*, even if a vital unanticipated question arises during the term of the agreement—discovery of asbestos in the workplace, for example—the union cannot require the employer to bargain over the steps it must take to abate the serious health hazard its constituents face.

A collective bargaining regime that so hobbles the role of the employees' representative would bear little resemblance to the labor-relations framework Congress so carefully designed. Guidance from this Court is acutely needed on the important question whether Congress' federal sector labor relations plan should be dramatically recast in the way prescribed by the Fourth Circuit.

III. THE DECISION OF THE COURT OF APPEALS IS ERRONEOUS

A. The Language, Structure and Policies of the Statute and Fundamental Principles of Labor Law Demonstrate that Federal Employers Are Obligated to Bargain Over Union-Initiated Proposals.

The premise underlying the Fourth Circuit's midterm bargaining trilogy—that federal employer agencies have no obligation, under any circumstances, to negotiate over union-initiated midterm bargaining proposals—reveals a fundamental misapprehension of the Statute's language and design. It is also contrary to the policies that underlie the Statute and basic principles of labor law.

1. In *SSA*, the Fourth Circuit concluded that the Statute "seems to contemplate" that an employer's bargaining obligation extends to "only one, basic, agreement." 956 F.2d at 1284. As noted, however, this Court has observed that in fashioning the Statute, "Congress unquestionably intended to strengthen the position of federal unions . . .". *BATF*, 464 U.S. at 107. That Congress affirmatively intended the Statute's scheme to promote collective bargaining is made clear by its explicit findings that bargaining "safeguards the public interest" and "contributes to the effective conduct of public business." 5 U.S.C. 7101(a)(1)(A), (B).

The Statute's language and scheme establish that, apart from its expressly stated exceptions, the parties' duty to bargain is ongoing through the life of a contract and encompasses matters that may arise during the term of an agreement. Its framework is best understood as creating a broadly defined duty to bargain over conditions of employment—a duty that is subject only to express and narrow statutory exceptions.[3] Thus, the Statute extends

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[3] *See Library of Congress v. FLRA*, 699 F.2d 1280, 1285 (D.C. Cir. 1983). Representative Udall, the drafter of the bill that ultimately became the Act, described the management rights provision, for

the duty to bargain to all "conditions of employment," a term expansively defined to include all personnel policies, practices, and matters affecting working conditions. 5 U.S.C. 7103(a)(14). The Statute contains no exceptions relieving an employer of this obligation during the term of a master agreement.

That the bargaining obligation extends beyond negotiation of one master agreement is shown by the statute's definition of "collective bargaining," which requires, without any temporal restriction, that labor and management "meet at reasonable times" for the purpose of arriving at agreements regarding conditions of employment. 5 U.S.C. 7103(a)(12). Further, the Act imposes on labor and management the obligation to meet in good faith to reach "collective bargaining agreements." 5 U.S.C. 7114(a)(1) (emphasis added) (reference to plural agreements).[4]

The D.C. Circuit's decision in *American Federation of Government Employees v. FLRA*, 750 F.2d 143 (D.C. Cir. 1984), fortifies the conclusion that the Statute includes no temporal limitations regarding the parties' duty to bargain. There, the court underscored that neither the broad statutory definition of "collective bargaining," nor

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example, as something "to be treated narrowly as an exception to the general obligation to bargain." 124 Cong. Rec. H 9633 (daily ed. Sept. 13, 1978), *reprinted in Legislative History of the Federal Service Labor-Management Relations Statute, Title VII of the Civil Service Reform Act of 1978* (hereafter cited as "Leg. Hist."), at 924. Where Congress wished to limit bargaining, it expressly did so. *See, e.g.*, 5 U.S.C. 7106, 7117.

[4] In *SSA*, the court of appeals inferred support for its holding from 5 U.S.C. 7106(b)(2) and (3). 956 F.2d at 1284. The court asserted that those provisions showed that when Congress wanted to create any kind of midterm bargaining obligation it "spelled out" when it wanted it to occur. *Id.* The court misconstrued the provisions identified; their purpose was to impose limitations on the exercise of an agency's management rights. There is no indication that Congress ever contemplated that it was setting the parameters of the obligation of labor and management to engage in midterm bargaining.

any of the other "relevant definitional sections of the Act" (750 F.2d at 146) make any distinctions between basic collective bargaining agreements and local agreements. Similarly, the Statute does not distinguish between basic agreements and midterm agreements. In short, the plain language of the pertinent statutory provisions does not even remotely hint, much less "strongly suggest[]," as asserted by the Fourth Circuit, an intention to limit the bargaining obligation to "only, one basic agreement. . . ." 956 F.2d at 1284.

2. The Fourth Circuit also erred in finding its position supported by a cryptic excerpt from a Senate Report that accompanied an earlier version of the FSLMRS. *See* 956 F.2d at 1284-1285. The passage upon which the court relied stated that, under the Act, labor and management must bargain not only about management-instigated changes in "established personnel policies" but also about "proposals initiated by either the agency or the exclusive representative in the context of negotiations leading to a basic collective bargaining agreement." S. Rep. No. 969, 95th Cong., 2d Sess. 104, *reprinted in Legislative History of the Federal Service Labor-Management Relations Statute, Title VII of the Civil Service Reform Act of 1978* (hereafter cited as "Leg. Hist."), at 764.

This report language simply never addressed whether or not management must bargain over a union's midterm proposal, as the *SSA* court suggested. 956 F.2d at 1284-1285. More important, even if such an intent could be inferred from the report, both houses of Congress ultimately rejected the Senate bill described by the committee report and instead passed a House-sponsored bill drafted by Representative Udall. *See NTEU v. FLRA*, 691 F.2d 553, 559 (D.C. Cir. 1982).

In fact, the very section of the Senate report relied on by the Fourth Circuit sets forth a view of bargaining that was rejected in the final version of the Statute. It states that the "scope of negotiations under this section is the

same as under section 11(a) of Executive Order 11491" (which governed federal sector labor relations before enactment of the Act). *Leg. Hist.* at 764. The FSLMRS, as enacted, represented a clear rejection of the prior collective bargaining system that the Senate bill would have perpetuated; what was finally adopted explicitly renounced the highly restrictive approach represented by the Senate bill. *See NTEU v. FLRA*, 691 F.2d at 559-61.[8]

3. Bedrock principles of private sector labor law also establish the error of the Fourth Circuit's view of midterm bargaining. As this Court and the *NTEU* court have indicated, Congress patterned the Act to a significant degree after the National Labor Relations Act (NLRA). *BATF*, 464 U.S. at 92-93; *NTEU*, 810 F.2d at 299. It is now commonplace for the FLRA and the reviewing circuit courts to look to private sector case law for guidance when appropriate. *See NTEU*, 810 F.2d at 299; *Library of Congress*, 699 F.2d at 1286.

The seminal private sector case is *NLRB v. Jacobs Manufacturing Co.*, 196 F.2d 680 (2d Cir. 1952), which has since been recognized as establishing an integral element of the good faith bargaining obligation prescribed by

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[8] In taking issue with the *NTEU* court's rejection of reliance on the Senate bill, the Fourth Circuit never came to terms with the materially different approaches to collective bargaining that were represented by the Senate bill and the versions offered by the House, including the one that became law. *See SSA*, 956 F.2d at 1285. If Congress had intended the language of the Senate Report to prevail, it is reasonable to believe that it would have said so in the Conference Report.

The court of appeals was also mistaken in suggesting (*SSA*, 956 F.2d at 1285-86) that union-initiated midterm bargaining had been proscribed under the regime of Executive Order 11491. *See Army and Air Force Exchange Service*, 5 F.L.R.C. 167 (1977) (clarifying that the administrative decision under review did not turn on agency's claim that it had no obligation to bargain midterm regarding union proposal).

the NLRA.[6] In that case, the court held that an employer has an obligation to bargain midterm regarding matters not covered by an agreement of the parties. The *Jacobs* principle is grounded in an objective that is served by both the FSLMRS and the NLRA: promoting collective bargaining as the critical means of achieving "amicable settlement" of labor disputes. *See* 5 U.S.C. 7101(a)(1)(C); *Jacobs*, 196 F.2d at 684. The principle, in fact, fits particularly well within the FSLMRS scheme, given its presumption in favor of bargaining absent an expressly stated exception.

Paradoxically, the Fourth Circuit found it significant that the FSLMRS does not include a *limitation* on midterm bargaining comparable to section 8(d) of the NLRA. *SSA*, 956 F.2d at 1287, citing 29 U.S.C. 158(d) (stating in pertinent part that neither party is required to engage in midterm bargaining over matters "contained in" the collective bargaining agreement). *Jacobs*, of course, held that, given its narrow nature, section 8(d) did not relieve the employer of its duty to negotiate as "to subjects which were neither discussed nor embodied in any of the terms and conditions of the contract." 196 F.2d at 684.

The absence of a provision similar to section 8(d) is of no consequence. The corollary of the *Jacobs* principle —that the duty to engage in midterm bargaining regarding union-initiated proposals duty does not extend to matters contained in or "covered by" the parties' collective agreement—is so basic that it is not at all surprising that Congress did not spell it out in the FSLMRS.[7] The Fourth

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[6] *See e.g., NL Industries Inc. v. NLRB*, 536 F.2d 786 (8th Cir. 1976) (noting that the holding of *Jacobs* is so well integrated into the fabric of labor law that it is rarely challenged) and *Mead v. NLRB*, 697 F.2d 1013 (11th Cir. 1983).

[7] The FLRA's case law is replete with applications of the "covered-by" principle. *See, e.g., Internal Revenue Serv. and NTEU*, 29 F.L.R.A. 162 (1987).

Circuit's notion—that the absence of an explicit bargaining exception in the FSLMRS to parallel section 8(d) demonstrates an intent to deny a right to bargain "in the first place" (956 F.2d at 1287)—turns the Act's presumption in favor of bargaining on its head.

4. The Fourth Circuit in *SSA* asserted that it would be inappropriate to import private sector concepts regarding midterm bargaining into the federal sector scheme, given the Act's goal of ensuring an "effective and efficient government." 956 F.2d at 1289. The court speculated that permitting federal sector unions to initiate midterm negotiations would give them a "tactical advantage" not available to private sector unions. *Id.* at 1287. The court further theorized that, given the availability of the FSIP to resolve bargaining impasses, unions would be encouraged "to negotiate and arbitrate issues *seriatim* rather than as a unified package," which would allegedly result in the "dispersal" of the bargaining process. *Id.* at 1287-89.

The court's analysis was unsound for several reasons. First, in making these naked policy assessments, the court of appeals strayed far afield from its proper role in reviewing the decision of an administrative agency such as the FLRA. *See Chevron, U.S.A., Inc. v. Natural Resources Defense Council*, 467 U.S. 837 (1984). Moreover, the court's dire predictions about the impact midterm bargaining would have on federal sector labor relations was, as experience has now shown, much ado about nothing. Although the *NTEU* holding regarding union-initiated midterm bargaining has been the rule everywhere but in the Fourth Circuit for more than 10 years, we are aware of *no* claim in any case, much less a showing that unions have actually used midterm bargaining in the manipulative way predicted by the Fourth Circuit in its *SSA* ruling.[8]

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[8] The federal sector experience is thus consistent with that in the private sector. The Eighth Circuit, in endorsing the *Jacobs* rule,

Further, the Fourth Circuit's view that union-initiated midterm bargaining would contravene the Statute's goal of ensuring an effective and efficient government is directly at odds with the very congressional policy judgment that underlies the FSLMRS: namely, that collective bargaining is something that should be encouraged because it *promotes* an effective and efficient government. 5 U.S.C. 7101(a)(1)(B).

In fact, the court of appeals showed no appreciation for how midterm bargaining can affirmatively enhance, in very practical ways, governmental effectiveness. The court asserted that allowing unions to initiate midterm bargaining would discourage the parties from foreseeing potential problems. But contrary to that assertion, the key purpose of midterm negotiations is to allow labor and management to address matters that are *not* foreseen at the time the term agreement is being bargained.

Indeed, by precluding the union from having the right to make midterm proposals, the Fourth Circuit's position would undermine the very workplace stability it pur-

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stressed that a mutual right to engage in midterm bargaining actually enhances stability by providing the parties "flexibility" to deal with such "future contingencies" as changing economics, technology and working conditions. *NL Industries v. NLRB*, 536 F.2d at 790, n.5.

The Fourth Circuit's greatly exaggerated view of the negative consequences of midterm bargaining also failed to appreciate that management need not always negotiate with a union during the term of the agreement. For example, the parties could agree to a "zipper clause" that would serve as the union's waiver of its right to initiate midterm proposals. *See, e.g., FLRA v. Internal Revenue Service*, 838 F.2d 567 (D.C. Cir. 1988) (concurring opinion by Judge Edwards explaining the availability of such clauses in the federal sector). Nor would management have to bargain over matters "covered by" the parties' term agreement. Contrary to the Fourth Circuit's erroneous and now dated suggestion in *SSA* (956 F.2d at 1289), the "covered by" doctrine is an integral element of the federal sector labor relations scheme. *See, e.g., U.S. Dept. of Health and Human Services*, 47 F.L.R.A. 1004 (1993).

ported to be promoting. Barring union-initiated midterm negotiations would, for example, remove an important escape valve for work place tensions that may develop during the term of the basic agreement.[9] Moreover, disallowing such bargaining would actually *impede* the parties' ability to reach term agreements. Knowing they are precluded from midterm initiatives, unions would be forced to resort to a "kitchen-sink" approach to term agreements that would entail trying to include in the agreement all matters that might conceivably arise during the contract's term. This kind of contingency bargaining would only serve to increase, unnecessarily, areas of conflict at the bargaining table.

B. In Any Event, A Contract Proposal Authorizing Union-Initiated Midterm Bargaining Is Within A Federal Employer's Statutory Obligation to Bargain

Even if the Statute does not confer a *right* on unions to initiate midterm bargaining, a union proposal—such as that at issue in this case—that would *authorize* such negotiations is within the federal employer's obligation to bargain. In other words, the Statute does not, contrary to the holding of the court below, bar unions from attempting to negotiate for the right to engage in union-initiated midterm bargaining.[10]

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[9] *See e.g., Library of Congress v. FLRA*, 699 F.2d at 1289 (recognizing that barring negotiations over working conditions breeds "frustration" and "disharmony" among employees).

[10] Indeed, this Court has recognized that a union may bargain for a right that is not conferred by the Statute. In *BATF*, the Court held that, although union negotiators were not entitled to travel and per diem payments under the Statute, "unions may presumably negotiate for such payments through collective bargaining." *BATF*, 464 U.S. at 107, n.17. The D.C. Circuit subsequently agreed with the FLRA that a contract proposal for travel and per diem payments fell within the duty to bargain because it did not conflict with applicable law or regulation. *National Treasury Employees Union and Dept. of the Treasury*, 21 FLRA 6 (1986), *enforced*, 836 F.2d 1381 (D.C. Cir. 1988).

As noted, under the Statute, the obligation to bargain extends to all proposals concerning conditions of employment unless they contravene a management right (5 U.S.C. 7106(a)) or are inconsistent with law, government-wide regulations, or agency regulations for which a compelling need exists. 5 U.S.C. 7117(a). A contractual provision obligating an agency to negotiate over union-initiated proposals does not fall within any of these exceptions; it is, accordingly, a mandatory subject of bargaining.

The Fourth Circuit's conclusion in *DOE* that it would be "inconsistent" with the Statute to require bargaining over such a provision (106 F.3d at 1164) is plainly erroneous. First, the court of appeals never identified any law or regulation that would preclude bargaining over a proposal seeking the right to midterm bargaining. Instead, it grounded its decision on its view of what constitutes an "effective and efficient government." A claim that the adoption of a proposal is inconsistent with "effective and efficient" government goes to its merits, not its negotiability. Equally important, as shown above, the Fourth Circuit's "effective and efficient" government analysis cannot withstand examination.

Ironically, the court's position would bar an agency from agreeing to a contract provision authorizing union-initiated midterm bargaining even when it wanted to do so. There are many situations where union-initiated midterm proposals would enhance management's interest in flexibility. Thus, during term negotiations, management may wish to change a condition of employment—it may, for example, be interested in a trial period of different starting and quitting times. The union might well be amenable to considering the change if it believed it would have an opportunity to make a midterm proposal modifying the arrangement. Without that option, however, the employees' representative may be strongly disinclined to agree to change. In short, management's interest in experimenting

regarding conditions of employment would be undermined by the Fourth's Circuit's rigid view of midterm bargaining —a result that would hardly serve an "effective and efficient" government.

CONCLUSION

The petition for a writ of certiorari should be granted.

Respectfully submitted,

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January 1998

APPENDICES

APPENDIX A

UNITED STATES COURT OF APPEALS FOR THE FOURTH CIRCUIT

No. 96-2855

UNITED STATES DEPARTMENT OF THE INTERIOR, Washington, D.C.; U.S. GEOLOGICAL SURVEY, Reston, Virginia,

Petitioners,

v.

FEDERAL LABOR RELATIONS AUTHORITY,

Respondent,

NATIONAL FEDERATION OF FEDERAL EMPLOYEES LOCAL 1309,

Intervenor.

No. 97-1135

FEDERAL LABOR RELATIONS AUTHORITY,

Petitioner,

NATIONAL FEDERATION OF FEDERAL EMPLOYEES LOCAL 1309,

Intervenor,

v.

UNITED STATES DEPARTMENT OF THE INTERIOR, Washington, D.C.; U.S. GEOLOGICAL SURVEY, Reston, Virginia,

Respondents.

On Petition for Review and Cross-application for Enforcement of an Order of the Federal Labor Relations Authority. (WA-CA-30451)

Argued: October 1, 1997
Decided: October 31, 1997

Before RUSSELL and MOTZ, Circuit Judges, and
PHILLIPS, Senior Circuit Judges.

OPINION

PHILLIPS, Senior Circuit Judge:

The U.S. Geological Survey, of the Department of the Interior, ("Survey") petitions for review of a Federal Labor Relations Authority ("Authority") order finding that the Survey committed an unfair labor practice in violation of the Federal Service Labor-Management Relations Act, 5 U.S.C. § 7116(a)(1) and (5) (1994). The Authority, joined by the National Federation of Federal Employees Local 1309 ("the Union") as intervenor, cross-petitions for enforcement of its order which had found a violation in the Survey's refusal to negotiate over a union-initiated proposal to include in a collective bargaining agreement a requirement that it bargain over union-initiated midterm proposals. We agree, based upon clear circuit precedent, with the Survey, and deny enforcement.

I.

The Federal Service Labor-Management Relations Act ("Labor Act" or "FLSMRA"), 5 U.S.C.A. § 7101 *et seq.* (West Supp. 1997), establishes a comprehensive federal regulatory scheme for collective bargaining between federal employers and their employees. The Labor Act recognizes the right of federal employees to collectively organize, certify exclusive representatives, and be bargained with in good faith. *See* § 7114(a)(1), 7116. The Labor Act affirmatively requires federal employers to negotiate in good faith and failure to do so is an unfair labor practice. *See* § 7116(a)(5). Federal employees are prohibited by the Act from striking and comparable actions,

§ 7116(b)(7), their recourse being by action charging unfair labor practices brought against the Authority. *See* §§ 7105(a)(2)(G) & 7118(a)(6). The duty to bargain in good faith does not, however, extend to matters "inconsistent with any Federal law or any Government-wide rule or regulation." § 7117(a)(1).

Where both parties negotiate in good faith but fail to reach an agreement, either party may refer the dispute to the Federal Services Impasses Panel ("FSIP" or "Impasses Panel"). *See* § 7119(b)(1). The FSIP is a division of the Authority and "[i]f the parties do not arrive at a settlement after assistance by the Panel . . . the Panel may . . . take whatever action is necessary and not inconsistent with [the Statute] to resolve the impasse." § 7119(c)(5)(B)(iii). The Panel's binding arbitration authority extends to any negotiable proposal. *See Social Security Administration v. FLRA*, 956 F.2d 1280, 1282 (4th Cir. 1992). Though agency heads have the authority to disapprove a provision, disapproval is subject to judicial modification and can constitute an unfair labor practice. *See* §§ 7114(c), 7116(a)(6), 7118.

II.

The facts of this proceeding are straightforward and not in dispute. During a regular collective bargaining process between the Union and the Survey, the Union proposed for inclusion in the bargaining agreement the following clause:

> The Union may request and the Employer will be obligated to negotiate on any negotiable matters not covered by the provisions of this agreement.

JA 71.

Relying on our decision in *Social Security Administration v. FLRA*, 956 F.2d 1280 (4th Cir. 1992) [hereinafter *SSA*], in which we had held that the Labor Act does not by its terms require federal agencies to participate in union initiated midterm bargaining, the Survey declared

this proposal nonnegotiable. The Union then filed a complaint with the Authority alleging, *inter alia*, that in declining to negotiate the proposal, the Survey committed an unfair labor practice in violation of 5 U.S.C. § 7116 (a)(1), (5). After waiver of an administrative law judge hearing and stipulation of the facts, the Authority—relying on the D.C. Circuit's opinion in *National Treasury Employees Union v. FLRA*, 810 F.2d 295 (D.C. Cir. 1987)—ordered the Survey to bargain over the proposal.

In rejecting Survey's reliance on *SSA*, the Authority opined that: (1) *SSA* only held that there was no statutory obligation to bargain midterm and "did not address whether a union could bargain for that right" and (2) in following longstanding principles of the agency, it was an unfair labor practice for an agency to refuse to bargain over a proposal that is "substantially identical" to one previously found negotiable. *See* JA 74 (citing *U.S. Department of Energy*, 51 FLRA 124 (1995)).

The Survey continues to rely on *SSA* and cites our recent decision in *United States Dept. of Energy v. FLRA*, 106 F.3d 1158 (4th Cir. 1997), in support of its refusal to negotiate. Because our decisions in *SSA* and *Energy* control decision here and are dispositive of the issue, we agree with the Survey and deny enforcement.

III.

Underlying the conflicting contentions of the parties in this case is a clear conflict on the issue of union-initiated midterm bargaining proposals between this circuit and the D.C. Circuit. The D.C. Circuit's position is that taken in 1985 in *National Treasury Employees Union v. FLRA*, 810 F.2d 295 (D.C. Cir. 1985) [hereinafter *NTEU*]. In *NTEU*, the D.C. Circuit refused to enforce the Authority's decision in *Internal Revenue Service* (IRS I), 17 FLRA 731, 736 (1985), that there was no obligation to bargain over union-initiated midterm proposals. Rejecting this position, the D.C. Circuit held that the obligation to bar-

gain midterm was firmly established in the private sector and that failure to impose a comparable obligation in the public sector would undermine the "statutory 'goal of equalizing the positions of labor and management at the bargaining table.'" *Id.* at 300 (quoting *American Fed'n of Gov't Employees v. FLRA*, 750 F.2d 143, 148 (D.C. Cir. 1984)). On remand, the Authority adopted the D.C. Circuit's position wholesale and concluded that

> the duty to bargain in good faith imposed by the Statute requires an agency to bargain during the term of a collective bargaining agreement on negotiable union proposals concerning matters which are not contained in the agreement unless the union has waived its right to bargain about the subject matter involved.

Internal Revenue Service (IRS II), 29 FLRA 162, 166 (1987).

Some five years later, this court held to the contrary in *SSA*. Judge Wilkinson's opinion for the *SSA* court concluded that the Authority's mandatory position on midterm bargaining was at odds with the Labor Act. Relying on the statutory language and legislative history, the *SSA* court held that mandatory midterm bargaining would "contravene many of the basic purposes" of the Labor Act (*id.* at 1288) and as a result the Authority's position was "not in accordance with law." *Id.* at 1290 (quoting 5 U.S.C. §§ 706(2)(A), 7123(c)).

The Authority later had an opportunity to evaluate the reach of *SSA* in *Department of Energy, Washington, D.C.*, 51 FLRA 124 (1995). In *Energy*, the affected agency had disapproved a bargaining agreement clause imposed by the Impasse Panel that would have required it to bargain in good faith on union-initiated midterm proposals.[1] In finding the agency disapproval an unfair labor

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[1] The clause mandated by the Panel provided:

> The Employer will be obligated to bargain in good faith on any negotiable Union-initiated proposals concerning matters that

practice, the Authority distinguished *SSA* because there "the Fourth Circuit did not address the negotiability of a provision for union-initiated midterm bargaining; the court addressed only whether, apart from any contractual obligations, an agency is required under the Statute to engage in such bargaining." *Id.* at 127. Because a midterm bargaining provision was negotiable and consistent with the law, disapproval of the provision imposed by the Panel violated §§ 7116(a)(1) and (a)(6). *Id.*

An enforcement petition then filed in *Energy* provided this circuit with the opportunity to pass on the Authority's attempt to distinguish *SSA*. In *United States Department of Energy v. Federal Labor Relations Authority*, 106 F.3d 1158 (4th Cir. 1997), we refused to enforce the Authority's order and flatly rejected its position that *SSA* did not control. While agreeing "that the question of whether the FSLMRA imposes a statutory duty differs from the question of whether an agency must negotiate with a union regarding the inclusion of a clause in a collective bargaining agreement," we found the distinction "more apparent than real." *Id.* at 1163. "[N]ot only is union-initiated midterm bargaining not mandated by the FSLMRA, but [it is] also . . . *contrary* to the FSLMRA." *Id.* (citation omitted) (emphasis in original). The *Energy* court explicitly found such proposals nonnegotiable, reasoning that if this type of provision were negotiable it "would effectively vitiate *SSA*." *Id.* According to the court:

> Because the Impasses Panel adheres to the position of the Authority that the Department has a statutory duty to engage in midterm bargaining, we cannot envision a case in which the Impasses Panel would

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are not contained in or covered by the collective bargaining agreement, unless the Union has waived its right to bargain about the subject matter involved.

United States Dep't. of Energy v. FLRA, 106 F.3d 1158, 1161 (4th Cir. 1997).

> fail to impose upon an agency a midterm bargaining clause like the one before us. . . . Thus, a union could circumvent *SSA* by the mere expedient of negotiating to impasse on a midterm bargaining provision, essentially requiring an agency to bargain midterm over union proposals despite our determination that such a requirement is contrary to FSLMRA.

Id. at 1163-64.

IV.

This case now requires us to assess whether *SSA* and *Energy* similarly require rejection of the Authority's position that it may order an agency to negotiate over whether it will negotiate over union-initiated midterm proposals.

A.

The first question is the deference we owe to the Authority's formal position. The basic principle of course is that an agency ruling may be set aside only if it is "arbitrary, capricious, an abuse of discretion or otherwise not in accordance with law." 5 U.S.C. § 7123(c). Where the agency ruling is based upon application of a governing statute and "the statute is silent or ambiguous with respect to the specific issue, the question for the court is whether the agency's answer is based on a permissible construction of the statute." *Chevron U.S.A. v. Natural Res. Def. Council*, 467 U.S. 837, 843 (1984) (footnote omitted). Here, however, we deal not with the Agency's interpretation of a statutory provision not previously interpreted by this court, but with its interpretation of our prior interpretation of the relevant statutory provisions. In such a situation, "[o]nce we have determined a statute's meaning, we adhere to our ruling under the doctrine of *stare decisis*, and we assess an agency's later interpretation of the statute against that settled law." *Neal v. United States*, 116 S. Ct. 763, 768-69 (1996) (citations omitted).

B.

Confronted with this principle governing our judicial review, the Authority seeks to distinguish the issue we decided, as a matter of statutory interpretation, in *Energy* from that presented here, hence to persuade us that our interpretation in *Energy* does not bind us here as a matter of *stare decisis*. Alternatively, it contends that the reasoning in *Energy* that may seem to reach the issue here is *dicta* and so should not be thought to bind us. We disagree on both points.

The Authority argues that the procedural posture of *Energy* distinguishes the statutory interpretation issue there from that confronted here. "[U]nlike the case in *Energy v. FLRA*, where the obligation to bargain midterm was imposed on the agency, here the Authority has only ordered the Survey to bargain over whether it will entertain union-initiated proposals during the term of the agreement." Respondent's brief at 11. The Authority's argument is, in short, that while *Energy* involved an Impasses Panel-imposed requirement to bargain midterm, this case involves a requirement to bargain about whether an agency will bargain, and that the distinction is critical in freeing us from our holding in *Energy*.

There is indeed a distinction, but it is not critical. The same practical consequences flowing from the impasse procedures that made the distinction between a statutory requirement and general duty to bargain of no consequence in *Energy* obtain here. As in *Energy*, if we adopted the Authority's position, a "union could circumvent *SSA* by the mere expedient of negotiating to impasse on a midterm bargaining provision" only to have the Impasses Panel mandate the inclusion of such a provision through its binding arbitration authority. *Energy*, 106 F.3d at 1164. Though an additional-step in the analysis is necessary, there is no conceivable reason why a duty to bargain is different for the purpose at hand from a duty to bargain about whether to bargain. The overriding prin-

ciple in this circuit remains the same: an agency may not be *required* to negotiate midterm. While agencies are free to negotiate midterm if they so choose, requiring an agency to negotiate midterm is "inconsistent with the FSLMRA and, consequently, is not negotiable." *Id.* at 1163. We therefore reject the Authority's attempt to distinguish this case from *Energy* in the critical respect sought.

Recognizing the conceptual hurdle erected by *Energy*'s discussion of the Impasses Panel processes, the Authority contends that this reasoning was *dicta*. The argument is that the court in *Energy* went outside the facts before it, misconstrued the basic role of the Impasses Panel, and made a determination that does not accurately reflect the experiences of the Panel or the Authority. It is not certain, according to the Authority, that an Impasses Panel will always impose a midterm bargaining requirement whenever a midterm proposal is made. In fact, on at least one occasion the Impasses Panel has chosen not to impose one. *See Department of Health and Human Services*, 94 Fed. Serv. Imp. Pan. 47 (Aug. 3, 1994). Moreover, if impasse results and the Panel imposes a requirement to negotiate a union's proposal, "the agency head may rely upon this [c]ourt's *Energy v. FLRA* decision to guide his or her actions." Respondent's brief at 19 (footnote omitted).

The Authority's arguments misconstrue the regulatory implications of an agency head's failure to follow an Impasses Panel mandate and disregard the explicit holding in *Energy*. Failure to abide by the binding arbitration authority of the Panel is an unfair labor practice within the meaning of § 7116(a)(6). *See id.* ("For the purpose of this chapter, it shall be an unfair labor practice for an agency—(6) to fail or refuse to cooperate in impasse procedures and impasse decisions as required by this chapter."). If an agency head does disapprove a requirement to negotiate (or alternatively to negotiate about whether

to negotiate) the agency's refusal to adhere to the Panel's resolution would not be a viable alternative because such an action could easily be considered an unfair labor practice.

Attempts to characterize *Energy's* discussion of the Impasses Panel processes as *dicta* are also unpersuasive as a technical matter. *Energy's* description and understanding of the Impasse Panel's role were central to the court's disposition. Without this reasoning the court would have been unable to dismiss (as "more apparent than real") the distinction between a statutory duty to negotiate and a Panel-imposed obligation to negotiate. *See Energy,* 106 F.3d at 1163. Dependence upon this reasoning could not have been more clearly expressed: "a clause requiring an agency to engage in union-initiated midterm bargaining is inconsistent with the FSLMRA and, consequently, is not negotiable." *Id.*

In its efforts to deal with our *Energy* decision, the authority advances several policy arguments [2] and complains of the quandary the conflicting holdings of the Fourth and D.C. Circuits create. While we realize the difficulties which the conflicting decisions present, we can only note the obvious: that recourse for resolution must be sought elsewhere.

V.

In light of our decisions in *Energy* and *SSA*, we grant the petition for review and deny enforcement of the Authority's decision.

SO ORDERED

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[2] The Authority argues that even if the Impasses Panel cannot impose a requirement to bargain there is much benefit from an agency negotiating over whether to negotiate. "Upon resumption of bargaining, the agency may continue the proposal, seek modification of the proposal, or bargain for union concessions in agreeing to the proposal." Respondent's brief at 18. We agree that there may be times when an agency might choose to voluntarily enter into midterm bargaining. We hold only that they may not be required to do so.

APPENDIX B

52 FLRA No. 46

FEDERAL LABOR RELATIONS AUTHORITY
WASHINGTON, D.C.

U.S. DEPARTMENT OF THE INTERIOR
WASHINGTON, D.C.

and

U.S. GEOLOGICAL SURVEY
RESTON, VIRGINIA
(Respondents)

and

NATIONAL FEDERATION OF FEDERAL EMPLOYEES
LOCAL 1309
(Charging Party/Union)

WA-CA-30451

DECISION AND ORDER

October 24, 1996

Before the Authority: Phyllis N. Segal, Chair; Tony Armendariz and Donald S. Wasserman, Members.

I. *Statement of the Case*

This unfair labor practice case is before the Authority in accordance with section 2429.1(a) of the Authority's Regulations, based on a stipulation of facts by the parties, who have agreed that no material issue of fact exists. The General Counsel, the Charging Party and the Respondents filed briefs.

The amended complaint alleges the following: (1) the U.S. Geological Survey (Survey) violated section 7116 (a)(1) and (5) of the Federal Service Labor-Management Relations Statute (the Statute) by refusing to bargain over a proposal authorizing midterm bargaining that is substantially identical to proposals previously found negotiable by the Authority; and (2) the Department of the Interior (Interior) violated section 7116(a)(1) of the Statute by interfering with the bargaining relationship between Survey and the Charging Party. More particularly, the amended complaint states that Survey's refusal to bargain was based on advice received from Interior that the proposal was nonnegotiable and that there was no obligation to bargain.[1]

For reasons that follow, we conclude that Survey violated the Statute, as alleged, and we order it to bargain on request of the Charging Party. We also find that Interior did not violate the Statute and we dismiss the allegation of the amended complaint as to this party.

II. *Background and Stipulation*

The Charging Party and Survey were engaged in term negotiations for a successor agreement during which the Charging Party offered the following proposal:

> Article 7. Section 2.b. Union-initiated Bargaining. The Union may request and the Employer will be obliged to negotiate on any negotiable matters not covered by the provisions of this agreement.

Stipulation, Exhibit 2 at 1.

Survey sought advice from Interior as to the negotiability of the proposal. Interior advised that the proposal was

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[1] The General Counsel withdrew allegations of the amended complaint regarding a second proposal submitted by the Charging Party and an allegation that Interior violated section 7116(a)(5) of the Statute. General Counsel's Brief at 1-2. These matters are not before the Authority and we do not address them further.

not within the duty to bargain based on the decision in *Social Security Administration v. FLRA*, 956 F.2d 1280 (4th Cir. 1992) (*SSA v. FLRA*). After the Charging Party again requested bargaining, Survey told the Charging Party that the proposal was not within the duty to bargain and that it would not bargain. Survey took this position based on the decision in *SSA v. FLRA* and "information" from Interior. Stipulation, para. 13.

Survey and the Charging Party subsequently executed a collective bargaining agreement. Referring to the Union's bargaining proposal, the agreement included the following language that was offered by Survey and agreed to by the Charging Party:

> The Parties have not agreed to this provision. The Union has filed a ULP. Pending resolution of the ULP, if the provision is declared negotiable, the Parties agree to get together and bargain in good faith to closure, including impasse, if necessary. If the provision is declared non-negotiable, it will be declared null and void.

Stipulation, para. 18. Interior thereafter reviewed the collective bargaining agreement pursuant to section 7114(c) of the Statute and disapproved it.[2]

III. *Positions of the Parties*

A. *General Counsel*

The General Counsel contends that it is an unfair labor practice to refuse to bargain over a proposal that is substantially identical to one previously found negotiable by the Authority. According to the General Counsel, the Charging Party's proposal is substantially identical to one found negotiable in *Merit Systems Protection Board Pro-*

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[2] The amended complaint does not allege a violation based on the disapproval.

fessional Association and Merit Systems Protection Board, Washington, D.C., 30 FLRA 852 (1988) (*MSPB*).

The General Counsel also claims that Interior unlawfully interfered with the bargaining relationship of the Charging Party and Survey. In support, the General Counsel cites *U.S. Department of Defense, National Guard Bureau, Alexandria, Virginia*, 47 FLRA 1213 (1993) (*National Guard Bureau*).

To remedy the alleged unfair labor practices, the General Counsel requests that the Authority issue an order that would require Survey "to bargain over the [Charging Party's] proposal and apply the results of that bargaining retroactively to the date their successor agreement became effective, if that occurred before the completion of bargaining pursuant to the order." General Counsel's Brief at 5.

B. *Charging Party*

The Charging Party cites various Authority decisions and the court's decision in *National Treasury Employees Union v. FLRA*, 810 F.2d 295 (D.C. Cir. 1987) (*NTEU v. FLRA*), in support of its argument that there is an obligation to bargain over union-initiated proposals during the term of a collective bargaining agreement. The Charging Party also points out that the Authority has refused to follow *SSA v. FLRA*, adhering instead to *NTEU v. FLRA*. Finally, the Charging Party argues that the conduct of Interior in interfering with the negotiations between Survey and the Charging Party violated the Statute.

C. *Respondents*

The Respondents maintain that there is no obligation to bargain over union-initiated midterm proposals. According to the Respondents, the Authority should adhere to the position it took in *Internal Revenue Service*, 17 FLRA

731 (1985) (*IRS I*),[3] as well as the decision of the United States Court of Appeals for the Fourth Circuit, in which Survey is located. The Respondents cite *SSA v. FLRA* and *Patent and Trademark Office v. FLRA*, 991 F.2d 790 (4th Cir. 1993) (unpublished), in support of their argument that the Charging Party's proposal requiring midterm bargaining on union-initiated proposals is outside the duty to bargain.

The Respondents further assert that the decision in *Department of the Navy, Marine Corps Logistics Base, Albany, Georgia v. FLRA*, 962 F.2d 48 (D.C. Cir. 1992) (*Department of the Navy*), demonstrates the D.C. Circuit's endorsement of the "underlying policy rationale" of *SSA v. FLRA*. Respondents' Brief at 18. According to the Respondents, "the D.C. Circuit interpreted the fundamental policy of the Statute as essentially limiting the agency's duty to bargain over union-initiated midterm bargaining proposals as did the Fourth Circuit and the Authority in *IRS I*." *Id.* at 22. The Respondents request the Authority to reconsider and reverse its decision in *IRS II* or find that it is not applicable in this case.

Finally, the Respondents take the position that the stipulation contains no facts to support the allegation that Interior directed Survey in any way or otherwise interfered with the bargaining relationship of Survey and the Charging Party. The Respondents contend that Survey "sought advice from" Interior and "independently decided to follow this advice" when it informed the Charging Party that the proposal was nonnegotiable. *Id.* at 24.

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[3] The Authority's decision in *IRS I* was reversed in *NTEU v. FLRA*, 810 F.2d 295. Subsequently, the Authority issued a decision on remand, *Internal Revenue Service*, 29 FLRA 162 (1987) (*IRS II*), in which it adopted the court's decision holding that the Statute authorizes union-initiated midterm bargaining.

IV. *Analysis and Conclusions*

A. *The Basis of an Unfair Labor Practice In This Case*

It is an unfair labor practice for an agency to refuse to bargain over a proposal that is substantially identical to one previously found negotiable by the Authority. *E.g., U.S. Department of Health and Human Services, Public Health Service and Centers for Disease Control, et al*, 39 FLRA 1306, 1311 (1991) (*PHS*). A respondent acts at its peril in such cases "without regard to whether [the] respondent raises 'new' or 'old' arguments" and will be found to have violated the Statute as long as the proposal is within the duty to bargain. *National Guard Bureau*, 47 FLRA at 1218 (quoting *U.S. Department of the Army, Fort Stewart Schools, Fort Stewart, Georgia*, 37 FLRA 409, 420 (1990) (*Fort Stewart*).

1. *The Charging Party's Proposal Is Substantially Identical to a Proposal That the Authority Previously Found Negotiable*

As the General Counsel correctly states, the Authority previously found negotiable a proposal authorizing union-initiated midterm bargaining. In *MSPB*, the union proposed that "the parties may engage in midterm bargaining and bargain supplemental chapter agreements, on matters not addressed in the National Agreement." 30 FLRA at 859. The Authority determined that the proposal was within the duty to bargain. In reaching that result, the Authority rejected the agency's sole contention that there was no duty to bargain over proposals initiated by the Union during the term of the negotiated agreement. Citing *IRS II*, 29 FLRA 162, the Authority determined that the proposal at issue was negotiable because it reiterated a right the Union had under the Statute.

Both this proposal and the proposal in *MSPB* authorize union-initiated bargaining during the term of a collective bargaining agreement. No substantive differences are apparent between the proposals and the Respondents make

no such claim. Therefore, we find that the Charging Party's proposal is substantially identical to the proposal in *MSPB*.

2. *Proposals Authorizing Union-Initiated Midterm Bargaining Are Within the Duty to Bargain Under the Statute*

In addition to the fact that the proposal is substantially identical to a proposal previously found negotiable, there is otherwise nothing in the record of this case that persuades us that the Charging Party's proposal should be found to be outside the duty to bargain. In particular, we reject the Respondents' assertions that the Authority follow its decision in *IRS I* or find that the decision in *IRS II* is not applicable here. The Authority adheres to its position with regard to bargaining over union-initiated proposals during the term of an agreement. *See e.g., Department of Health and Human Services, Social Security Administration*, 47 FLRA 1206 (1993); *U.S. Army Corps of Engineers, Kansas City District, Kansas City, Missouri*, 31 FLRA 1231 (1988). The Respondents' reliance on *SSA v. FLRA* and their assertions regarding *Department of the Navy* do not warrant a departure from that position.

In *SSA v. FLRA*, the U.S. Court of Appeals for the Fourth Circuit held, as relevant here, that the Statute does not require bargaining on union-initiated matters during the term of a collective bargaining agreement. More recently, in *U.S. Department of Energy, Washington, D.C.*, 51 FLRA 124 (1995), *petition for review filed*, No. 95-2949 (4th Cir. Nov. 6, 1995), the Authority addressed the effect of the court's decision on the negotiability of a proposal seeking to authorize union-initiated midterm bargaining. The Authority determined that a provision authorizing union-initiated midterm bargaining during the term of an agreement was within the duty to bargain. In reaching that result, the Authority stated that the Fourth Circuit in *SSA v. FLRA* "did not address the

negotiability of a provision for union-initiated midterm bargaining; the court addressed only whether, apart from any contractual obligation, an agency is required under the Statute to engage in such bargaining." 51 FLRA at 127 (footnote omitted). Noting that it has declined to follow *SSA v. FLRA*, the Authority stated that even if it were to agree with that decision, the outcome would remain the same because the Authority "has previously upheld the negotiability of proposals despite the absence of a statutory right concerning the matter in question." 51 FLRA at 127 n.4. Similarly, we find nothing in *SSA v. FLRA* that compels the conclusion that the Charging Party's proposal in this case is outside the duty to bargain. *See also American Federation of Government Employees, Local 1995 and U.S. Department of Energy, Morgantown Energy Technology Center, Morgantown West Virginia*, 47 FLRA 470 (1993) (Authority found negotiable a proposal containing a reopener clause and, in so doing, rejected the claimed applicability of *SSA v. FLRA*).

We also find nothing in *Department of the Navy* that compels a finding that there is no obligation to bargain over the proposal. In that case, the U.S. Court of Appeals for the District of Columbia Circuit addressed whether there was an obligation to bargain over matters that are covered by or contained in existing collective bargaining agreements, not whether there is a duty to bargain over union-initiated midterm bargaining. That is, the court addressed the parameters of the duty to engage in midterm bargaining, not whether there is such a duty to bargain in the first place. While the court discussed the need to provide parties with "stability and repose" with respect to matters reduced to writing, that finding was tied to the policies regarding the duty to bargain over matters that are contained in or covered by collective bargaining agreements. 962 F.2d at 59. The Authority has since modified that policy. *See U.S. Department of Health and Human Services, Social Security Administration, Baltimore, Maryland*, 47 FLRA 1004 (1993).

In sum, we find that the Charging Party's proposal is: (1) substantially identical to a proposal that the Authority previously found was negotiable; and (2) is otherwise within the duty to bargain. In reaching this result, we make no judgment as to the merits of the proposal.

B. *Survey Violated the Statute; Interior Did Not Violate the Statute*

The Authority previously has held that when higher-level management within a chain of command directs management at a subordinate level in that same chain of command to act in a manner that is inconsistent with the subordinate level's bargaining obligations under the Statute, the higher level violates section 7116(a)(1) and (5) of the Statute. *Air Force Logistics Command, Wright-Patterson Air Force Base, Ohio*, 46 FLRA 1184, 1186 (1993) (*AFLC*). Conversely, if the party at the level of exclusive recognition is prevented from bargaining based on direction from higher level management, no violation is found against the party that is merely complying with higher-level direction and whose actions are ministerial in nature. *PHS*, 39 FLRA at 1315.

In this case, the record clearly establishes that Survey refused to bargain over a proposal that is substantially identical to a proposal that the Authority had previously determined was within the duty to bargain. *See* § IV.A, *supra*. Although the record discloses that Survey sought advice from Interior prior to informing the Charging Party of its position, there is no evidence that Interior directed Survey to refuse to bargain. Further, there is no evidence that Survey was prevented from bargaining by the actions or conduct of Interior. Indeed, the Respondents maintain, in their post-stipulation brief, that Survey acted independently in following the advice offered by Interior. Accordingly, we conclude that Survey violated section 7116(a)(1) and (5) of the Statute by refusing to bargain over the Charging Party's proposal.

We further find that Interior did not interfere with the bargaining relationship between Survey and the Charging Party. In the circumstances of this case, the fact that Interior provided advice to Survey does not establish that Interior directed Survey to act in a particular manner or to refrain from taking any action in fulfillment of its bargaining obligation. *See Kansas Army National Guard and National Guard Bureau*, 10 FLRA 303, 306 (1982) (finding no violation against a higher-level entity in the chain of command for "*advising* the [lower level entity] to take the course of action which it did as opposed to *directing* the latter to take such action") (emphasis in original). *See also PHS*, 39 FLRA at 1314 (more than mere reference to the existence of policy by an agency is necessary to establish that an agency has unlawfully interfered with the collective bargaining relationship between its subordinate activities and the exclusive representative).

We also find that this case is distinguishable from situations in which higher-level management *prohibited* a subordinate level from bargaining, *see AFLC*, 46 FLRA at 1186, or in some other manner prevented a subordinate from fulfilling its statutory obligations. *See Headquarters, U.S. Air Force, Washington, D.C. and 375th Combat Support Group, Scott Air Force Base, Illinois*, 44 FLRA 117, 125-26 (1992) (Member Armendariz dissenting), *petition for review denied sub nom. Headquarters, U.S. Air Force, Washington, D.C. v. FLRA*, 10 F.3d 13 (D.C. Cir. 1993) (without opinion).

Finally, the record does not support the General Counsel's assertion that Interior's conduct is essentially identical to conduct that was found to be unlawful in *National Guard Bureau*, 47 FLRA 1213. In that case, there is no evidence that management at the level of exclusive recognition acted independently in declaring nonnegotiable a union proposal. In contrast, the Respondents acknowledge in this case that Survey "independently decided to follow" Interior's advice. Respondents' Brief at 24.

In sum, we conclude that Survey violated section 7116(a)(1) and (5) of the Statute. Interior did not violate the Statute, as alleged.

C. *A Bargaining Order Is an Appropriate Remedy*

In prior Authority decisions involving an unlawful refusal to bargain over a proposal substantially identical to one previously found negotiable, the Authority has ordered the parties, on request of the union involved, to bargain over the proposal and to give such bargaining retroactive effect. *E.g., National Guard Bureau*, 47 FLRA at 1220; *Fort Stewart*, 37 FLRA at 422. In these cases, no reason was argued or apparent for not providing such a remedy. More particularly, there was no evidence that the parties would be unable to implement retroactively any agreement reached.

In this case, however, we find that such a remedy is not appropriate. The General Counsel has not identified, and it is not otherwise clear to us, how the requested remedy is capable of implementation. The proposal at issue authorizes union-initiated midterm bargaining. By its very nature, its application has a prospective effect in that it addresses the bargaining relationship that the parties will have in the future. Given the nature of this proposal, we find that an order to bargain over the proposal, on request of the Charging Party, is appropriate and will effectuate the purposes and policies of the Statute. *E.g., Department of the Air Force, U.S. Air Force Academy*, 6 FLRA 548 (1981), *aff'd*, 717 F.2d 1314 (10th Cir. 1983).

V. *Order*

Pursuant to section 2423.29 of the Authority's Regulations and section 7118 of the Federal Service-Labor Management Relations Statute, the U.S. Geological Survey, Reston, Virginia, shall:

1. Cease and desist from:

(a) Failing and refusing to negotiate with the National Federation of Federal Employees, Local 1309, the employees' exclusive bargaining representative, over a proposal authorizing union-initiated midterm bargaining that is substantially identical to a proposal previously found negotiable by the Authority.

(b) In any like or related manner, interfering with, restraining, or coercing bargaining unit employees in the exercise of their rights assured by the Federal Service Labor-Management Relations Statute.

2. Take the following affirmative action in order to effectuate the purposes and policies of the Statute:

(a) Upon request, bargain in good faith with the National Federation of Federal Employees, Local 1309, over the proposal authorizing union-initiated midterm bargaining.

(b) Post at its facilities copies of the attached notice on forms to be furnished by the Federal Labor Relations Authority. Upon receipt of such forms, they shall be signed by the head of the U.S. Geological Survey, and shall be posted and maintained for 60 consecutive days thereafter, in conspicuous places, including all bulletin boards and other places where notices to employees are customarily posted. Reasonable steps shall be taken to ensure that such Notices are not altered, defaced, or covered by any other material.

(c) Pursuant to section 2423.30 of the Authority's Regulations, notify the Regional Director, Washington Regional Office, Federal Labor Relations Authority, in writing, within 30 days from the date of this Order, as to what steps have been taken to comply.

All allegations in the amended complaint pertaining to the U.S. Department of the Interior, Washington, D.C. are dismissed.

NOTICE TO ALL EMPLOYEES
POSTED BY ORDER OF THE
FEDERAL LABOR RELATIONS AUTHORITY

The Federal Labor Relations Authority has found that the U.S. Geological Survey, Reston, Virginia, violated the Federal Service Labor-Management Relations Statute and has ordered us to post and abide by this Notice:

We hereby notify bargaining unit employees that:

WE WILL NOT refuse to negotiate with the National Federation of Federal Employees, Local 1309, the employees' exclusive bargaining representative, over a proposal authorizing union-initiated midterm bargaining that is substantially identical to a proposal previously found negotiable by the Authority.

WE WILL NOT, in any like or related manner, interfere with, restrain, or coerce bargaining unit employees in the exercise of their rights assured by the Federal Service Labor-Management Relations Statute.

WE WILL, upon request, bargain in good faith with the National Federation of Federal Employees, Local 1309, over the proposal authorizing union-initiated midterm bargaining.

_____

(Activity)

Dated: _____ By: _____

(Signature) (Title)

This Notice must remain posted for 60 consecutive days from the date of posting and must not be altered, defaced, or covered by any other material.

If employees have any questions concerning this Notice or compliance with its provisions, they may communicate directly with the Regional Director, Washington Regional Office, whose address is: 1255 22nd Street, N.W., 4th Floor, Washington, D.C. 20037, and whose telephone number is: (202) 653-8500.

APPENDIX C

STATUTORY PROVISIONS INVOLVED

5 U.S.C.

§ 7101. Findings and purpose

(a) The Congress finds that—

(1) experience in both private and public employment indicates that the statutory protection of the right of employees to organize, bargain collectively, and participate through labor organizations of their own choosing in decisions which affect them—

(A) safeguards the public interest,

(B) contributes to the effective conduct of public business, and

(C) facilitates and encourages the amicable settlements of disputes between employees and their employers involving conditions of employment; and

(2) the public interest demands the highest standards of employee performance and the continued development and implementation of modern and progressive work practices to facilitate and improve employee performance and the efficient accomplishment of the operations of the Government.

Therefore, labor organizations and collective bargaining in the civil service are in the public interest.

(b) It is the purpose of this chapter to prescribe certain rights and obligations of the employees of the Federal Government and to establish procedures which are designed to meet the special requirements and needs of the Government. The provisions of this chapter should be interpreted in a manner consistent with the requirement of an effective and efficient Government.

§ 7103. Definitions; application

(a) For the purpose of this chapter—

* * * *

(8) "collective bargaining agreement" means an agreement entered into as a result of collective bargaining pursuant to the provisions of this chapter;

* * * *

(12) "collective bargaining" means the performance of the mutual obligation of the representative of an agency and the exclusive representative of employees in an appropriate unit in the agency to meet at reasonable times and to consult and bargain in a good-faith effort to reach agreement with respect to the conditions of employment affecting such employees and to execute, if requested by either party, a written document incorporating any collective bargaining agreement reached, but the obligation referred to in this paragraph does not compel either party to agree to a proposal or to make a concession;

* * * *

(14) "conditions of employment" means personnel policies, practices, and matters, whether established by rule, regulation, or otherwise, affecting working conditions, except that such term does not include policies, practices, and matters—

(A) relating to political activities prohibited under subchapter III of chapter 73 of this title;

(B) relating to the classification of any position; or

(C) to the extent such matters are specifically provided for by Federal statute;

§ 7106. Management rights

(a) Subject to subsection (b) of this section, nothing in this chapter shall affect the authority of any management official of any agency—

(1) to determine the mission, budget, organization, number of employees, and internal security practices of the agency; and

(2) in accordance with applicable laws—

(A) to hire, assign, direct, layoff, and retain employees in the agency, or to suspend, remove, reduce in grade or pay, or take other disciplinary action against such employees;

(B) to assign work, to make determinations with respect to contracting out, and to determine the personnel by which agency operations shall be conducted;

(C) with respect to filling positions, to make selections for appointments from—

(i) among properly ranked and certified candidates for promotion; or

(ii) any other appropriate source; and

(D) to take whatever actions may be necessary to carry out the agency mission during emergencies.

(b) Nothing in this section shall preclude any agency and any labor organization from negotiating—

(1) at the election of the agency, on the numbers, types, and grades of employees or positions assigned to any organizational subdivision, work project, or tour of duty, or on the technology, methods, and means of performing work;

(2) procedures which management officials of the agency will observe in exercising any authority under this section; or

(3) appropriate arrangements for employees adversely affected by the exercise of any authority under this section by such management officials.

§ 7114. Representation rights and duties

(a)(1) A labor organization which has been accorded exclusive recognition is the exclusive representative of the employees in the unit it represents and is entitled to act for, and negotiate collective bargaining agreements covering, all employees in the unit. An exclusive representative is responsible for representing the interests of all employees in the unit it represents without discrimination and without regard to labor organization membership.

(2) An exclusive representative of an appropriate unit in an agency shall be given the opportunity to be represented at—

(A) any formal discussion between one or more representatives of the agency and one or more employees in the unit or their representatives concerning any grievance or any personnel policy or practices or other general condition of employment; or

(B) any examination of an employee in the unit by a representative of the agency in connection with an investigation if—

(i) the employee reasonably believes that the examination may result in disciplinary action against the employee; and

(ii) the employee requests representation.

(3) Each agency shall annually inform its employees of their rights under paragraph (2)(B) of this subsection.

(4) Any agency and any exclusive representative in any appropriate unit in the agency, through appropriate representatives, shall meet and negotiate in good faith for the purposes of arriving at a collective bargaining agreement. In addition, the agency and the exclusive representative may determine appropriate techniques, consistent with the provisions of section 7119 of this title, to assist in any negotiation.

(5) The rights of an exclusive representative under the provisions of this subsection shall not be construed to preclude an employee from—

(A) being represented by an attorney or other representative, other than the exclusive representative, of the employee's own choosing in any grievance or appeal action; or

(B) exercising grievance or appellate rights established by law, rule, or regulation;

except in the case of grievance or appeal procedures negotiated under this chapter.

(b) The duty of an agency and an exclusive representative to negotiate in good faith under subsection (a) of this section shall include the obligation—

(1) to approach the negotiations with a sincere resolve to reach a collective bargaining agreement;

(2) to be represented at the negotiations by duly authorized representatives prepared to discuss and negotiate on any condition of employment;

(3) to meet at reasonable times and convenient places as frequently as may be necessary, and to avoid unnecessary delays;

(4) in the case of an agency, to furnish to the exclusive representative involved, or its authorized representative, upon request and, to the extent not prohibited by law, data—

(A) which is normally maintained by the agency in the regular course of business;

(B) which is reasonably available and necessary for full and proper discussion, understanding, and negotiation of subjects within the scope of collective bargaining; and

(C) which does not constitute guidance, advice, counsel, or training provided for management officials or supervisors, relating to collective bargaining; and

(5) if agreement is reached, to execute on the request of any party to the negotiation a written document embodying the agreed terms, and to take such steps as are necessary to implement such agreement.

(c)(1) An agreement between any agency and an exclusive representative shall be subject to approval by the head of the agency.

(2) The head of the agency shall approve the agreement within 30 days from the date the agreement is executed if the agreement is in accordance with the provisions of this chapter and any other applicable law, rule, or regulation (unless the agency has granted an exception to the provision).

(3) If the head of the agency does not approve or disapprove the agreement within the 30-day period, the agreement shall take effect and shall be binding on the agency and the exclusive representative subject to the provisions of this chapter and any other applicable law, rule, or regulation.

(4) A local agreement subject to a national or other controlling agreement at a higher level shall be approved under the procedures of the controlling agreement or, if none, under regulations prescribed by the agency.

§ 7116. Unfair labor practices

(a) For the purpose of this chapter, it shall be an unfair labor practice for an agency—

* * * * *

(5) to refuse to consult or negotiate in good faith with a labor organization as required by this chapter;

§ 7117. Duty to bargain in good faith; compelling need; duty to consult

(a)(1) Subject to paragraph (2) of this subsection, the duty to bargain in good faith shall, to the extent not inconsistent with any Federal law or any Government-wide rule or regulation, extend to matters which are the subject of any rule or regulation only if the rule or regulation is not a Government-wide rule or regulation.

(2) The duty to bargain in good faith shall, to the extent not inconsistent with Federal law or any Government-wide rule or regulation, extend to matters which are the subject of any agency rule or regulation referred to in paragraph (3) of this subsection only if the Authority has determined under subsection (b) of this section that no compelling need (as determined under regulations prescribed by the Authority) exists for the rule or regulation.

(3) Paragraph (2) of the subsection applies to any rule or regulation issued by any agency or issued by any primary national subdivision of such agency, unless an exclusive representative represents an appropriate unit including not less than a majority of the employees in the issuing agency or primary national subdivision, as the case may be, to whom the rule or regulation is applicable.

§ 7118. Prevention of unfair labor practices

(a)(1) If any agency or labor organization is charged by any person with having engaged in or engaging in an unfair labor practice, the General Counsel shall investigate the charge and may issue and cause to be served upon the agency or labor organization a complaint. In any case in which the General Counsel does not issue a complaint because the charge fails to state an unfair labor practice, the General Counsel shall provide the person making the charge a written statement of the reasons for not issuing a complaint.

(2) Any complaint under paragraph (1) of this subsection shall contain a notice—

(A) of the charge;

(B) that a hearing will be held before the Authority (or any member thereof or before an individual employed by the authority and designated for such purpose); and

(C) of the time and place fixed for the hearing.

(3) The labor organization or agency involved shall have the right to file an answer to the original and any amended complaint and to appear in person or otherwise and give testimony at the time and place fixed in the complaint for the hearing.

(4)(A) Except as provided in subparagraph (B) of this paragraph, no complaint shall be issued based on any alleged unfair labor practice which occurred more than 6 months before the filing of the charge with the Authority.

(B) If the General Counsel determines that the person filing any charge was prevented from filing the charge during the 6-month period referred to in subparagraph (A) of this paragraph by reason of—

(i) any failure of the agency or labor organization against which the charge is made to perform a duty owed to the person, or

(ii) any concealment which prevented discovery of the alleged unfair labor practice during the 6-month period,

the General Counsel may issue a complaint based on the charge if the charge was filed during the 6-month period beginning on the day of the discovery by the person of the alleged unfair labor practice.

(5) The General Counsel may prescribe regulations providing for informal methods by which the alleged unfair labor practice may be resolved prior to the issuance of a complaint.

(6) The Authority (or any member thereof or any individual employed by the Authority and designated for such purpose) shall conduct a hearing on the complaint not earlier than 5 days after the date on which the complaint is served. In the discretion of the individual or individuals conducting the hearing, any person involved may be allowed to intervene in the hearing and to present testimony. Any such hearing shall, to the extent practicable, be conducted in accordance with the provisions of subchapter II of chapter 5 of this title, except that the parties shall not be bound by rules of evidence whether statutory, common law, or adopted by a court. A transcript shall be kept of the hearing. After such a hearing the Authority, in its discretion, may upon notice receive further evidence or hear argument.

(7) If the Authority (or any member thereof or any individual employed by the Authority and designated for such purpose) determines after any hearing on a complaint under paragraph (5) of this subsection that the preponderance of the evidence received demonstrates that the agency or labor organization named in the complaint has engaged in or is engaging in an unfair labor practice, then the individual or individuals conducting the hearing shall state in writing their findings of fact and shall issue and cause to be served on the agency or labor organization an order—

(A) to cease and desist from any such unfair labor practice in which the agency or labor organization is engaged;

(B) requiring the parties to renegotiate a collective bargaining agreement in accordance with the order of the Authority and requiring that the agreement, as amended, be given retroactive effect;

(C) requiring reinstatement of an employee with backpay in accordance with section 556 of this title; or

(D) including any combination of the actions described in subparagraphs (A) through (C) of this paragraph or such other action as will carry out the purpose of this chapter.

If any such order requires reinstatement of an employee with backpay, backpay may be required of the agency (as provided in section 5596 of this title) or of the labor organization, as the case may be, which is found to have engaged in the unfair labor practice involved.

(8) If the individual or individuals conducting the hearing determine that the preponderance of the evidence received fails to demonstrate that the agency or labor organization named in the complaint has engaged in or is engaging in an unfair labor practice, the individual or individuals shall state in writing their findings of fact and shall issue an order dismissing the complaint.

* * * *

(b) In connection with any matter before the Authority in any proceeding under this section, the Authority may request, in accordance with the provisions of section 7105(i) of this title, from the Director of the Office of Personnel Management an advisory opinion concerning the proper interpretation of rules, regulations, or other policy directives issued by the Office of Personnel Management.

§ 7119. Negotiation impasses; Federal Service Impasses Panel

(a) The Federal Mediation and Conciliation Service shall provide services and assistance to agencies and exclusive representatives in the resolution of negotiation impasses. The Service shall determine under what circumstances and in what manner it shall provide services and assistance.

(b) If voluntary arrangements, including the services of the Federal Mediation and Conciliation Service or any other third-party mediation, fail to resolve a negotiation impasse—

(1) either party may request the Federal Service Impasses Panel to consider the matter, or

(2) the parties may agree to adopt a procedure for binding arbitration of the negotiation impasse, but only if the procedure is approved by the Panel.

(c)(1) The Federal Service Impasses Panel is an entity within the Authority, the function of which is to provide assistance in resolving negotiation impasses between agencies and exclusive representatives.

(2) The Panel shall be composed of a Chairman and at least six other members, who shall be appointed by the President, solely on the basis of fitness to perform the duties and functions involved, from among individuals who are familiar with Government operations and knowledgeable in labor-management relations.

(3) Of the original members of the Panel, 2 members shall be appointed for a term of 1 year, 2 members shall be appointed for a term of 3 years, and the Chairman and the remaining members shall be appointed for a term of 5 years. Thereafter each member shall be appointed for a term of 5 years, except that an individual chosen to fill a vacancy shall be appointed for the unexpired term of the member replaced. Any member of the Panel may be removed by the President.

(4) The Panel may appoint an Executive Director and any other individuals it may from time to time find necessary for the proper performance of its duties. Each member of the Panel who is not an employee (as defined in section 2105 of this title) is entitled to pay at a rate equal to the daily equivalent of the maximum annual rate of basic pay then currently paid under the General Schedule for each day he is engaged in the performance of official business of the Panel, including travel time, and is entitled to travel expenses as provided under section 5703 of this title.

(5)(A) The Panel or its designee shall promptly investigate an impasse presented to it under subsection (b) of this section. This Panel shall consider the impasse and [1] shall either—

(i) recommend to the parties procedures for the resolution in the impasse; or

(ii) assist the parties in resolving the impasse through whatever methods and procedures, including factfinding and recommendations, it may consider appropriate to accomplish the purpose of this section.

(B) If the parties do not arrive at a settlement after assistance by the Panel under subparagraph (A) of this paragraph, the Panel may—

(i) hold hearings;

(ii) administer oaths, take the testimony or deposition of any person under oath, and issue subpenas as provided in section 7132 of this title; and

(iii) take whatever action is necessary and not inconsistent with this chapter to resolve the impasse.

(C) Notice of any final action of the Panel under this section shall be promptly served upon the parties, and the action shall be binding on such parties during the term of the agreement, unless the parties agree otherwise.

§ 7123. Judicial review; enforcement

(a) Any person aggrieved by any final order of the Authority other than an order under—

(1) section 7122 of this title (involving an award by an arbitrator), unless the order involves an unfair labor practice under section 7118 of this title, or

(2) section 7112 of this title (involving an appropriate unit determination),

may, during the 60-day period beginning on the date on which the order was issued, institute an action for judicial

review of the Authority's order in the United States court of appeals in the circuit in which the person resides or transacts business or in the United States Court of Appeals for the District of Columbia.